

CRM pitch deck

PITCH — CRM — VERDICT

ADJUDICATED 2026-08-07 — OWNABLE ONLY IF EARNINGS DURABILITY IS PROVEN; we own zero shares today, the only live exposure is a resting 53-share bid at \$175, and nothing gets added until the August 26 quarter passes a three-part test.

What we believe

Salesforce is a very profitable, slow-growing software company whose share price (\$190.97 as of this pack; \$189–190 during the court on 2026-08-07, versus a 52-week range of roughly \$146–269) now embeds an extremely low growth assumption. Working from the company's audited cash-flow figures: fiscal 2026 operating cash flow of \$14,996M less \$594M of capital spending gives \$14,402M of free cash flow — which ties exactly to the company's own stated "\$14.4 billion, up 16%." Guide the next year up 4–5% and subtract roughly \$4.1B of stock compensation, and owner earnings are about \$10.9B. Against a \$155.6B market value (819M shares on the 10-Q cover) that is a 7.0% owner-earnings yield, which implies the market expects about **2% nominal growth forever** — roughly zero after inflation.

That is a lower bar than even our own bear reconstruction clears. If the ~30% of the subscription base that was last seen growing 1.5–3.7% never grows again, and the healthy 70% decays from 11% to 7%, blended growth is still about +4.9%. To get down to what the price implies you have to assume the weak products actually *shrink* 5%/yr and the core decays to 6%.

Three things are genuinely working, and we say so without hedging:

- **The share count is really shrinking.** Diluted shares went 970M to 871M year over year, –10.2%.
- **Stock compensation is disciplined** — 7.7% of revenue last quarter versus 8.5% for the prior full year, about half of ServiceNow's and falling rather than rising.
- **The forward order book is still growing faster than revenue.** Last quarter with full disclosure, current remaining performance obligations grew about 9% excluding the Informatica acquisition, against organic revenue of about 6%. Businesses that turn into value traps have a *flat or shrinking* order book. This is the single cleanest thing separating Salesforce from the companies that looked cheap and then destroyed capital.

What the market believes

The market believes the AI agent story is a cost story for Salesforce's customers before it is a revenue story for Salesforce — that software sold per seat gets less valuable when the seat is automated, and that Salesforce sells the most seats of anyone. The stock is down about 28% year to date with implied volatility above 50%, which is a market pricing a structural argument, not a bad quarter.

The market also believes, correctly, that management is telling a better story than the numbers support. The company said “\$60 billion plus **organic**” in one quarter and “\$63 billion in revenue in FY30” the next, with the word “organic” quietly gone. At the growth rate management itself guides, the company reaches about \$57.2B by FY30 — roughly \$5.8B short. And the market can see that the *reported* growth rate is flattered by an acquisition: Informatica contributed about 4.5 points of the last quarter’s growth, and the next quarter is guided to only about 5.9% growth once you strip it out.

Finally, the market believes the buyback was bought, not earned — which is right. The \$27.2B of repurchases last quarter was funded by \$25B of new notes plus a \$6B term loan, not by cash flow. Long-term debt went from \$10.4B to \$39.3B and book equity fell from \$59.1B to \$34.2B.

Why we might have edge

One. The bearish view is being expressed as a multiple opinion (“13× is fair for a 7% grower”) when the price is actually set for a 2% grower. That gap — between the bear’s own arithmetic and what the price embeds — is the whole opportunity, and almost nobody computes both sides.

Two. The bear case is being applied to the wrong products. When we reconciled the company’s new two-bucket revenue disclosure back to the five product lines it replaced, the *weaker* of the two decaying cohorts (integration and analytics — MuleSoft, Tableau — 15.8% of the base, last seen growing 3.7%) sits in the bucket that is **not** named after the AI product, and that bucket grew **10.3% excluding the acquisition** — faster than the company average. The decaying products are real, but they are about 30% of the base and are dragging roughly 0.74 points of growth, while the accelerating platform/data/Slack cohort is adding roughly 3.9 points. That is 5× more growth added than lost, and it was not in either the bear write-up or, as far as we can tell, in the consensus framing.

Three. The newer business is carried at zero in the bear’s price band. Agentforce subscription revenue on an annualized basis went from \$800M to \$1,200M in a single quarter (+50% sequentially). Excluding the acquired Informatica piece, the AI-and-data annualized base is about \$2.3B, up from ~\$1.4B two quarters earlier. Even at a distressed 5× that is ~\$14/share; the bear’s entire fair-value band is \$21 wide. Discounted hard for the fact that this metric bundles “features” and has no reconciliation to reported revenue, it is still \$9–14/share carried at zero.

Four. Management has committed, twice, in filed documents, to organic revenue reaccelerating in the second half of this fiscal year — once in February and again in May. That is a dated, gradeable promise with a real credibility cost, not a vague aspiration.

Why it might be priced in

One — and this is the strongest argument against us. A cheap multiple on earnings only helps if the earnings hold. We pulled the record of mature software companies that entered at 14× or less with flat-to-negative revenue: one clear win (IBM in 2021, and only because growth actually inflected), one wash, four traps, and one still open. The decisive case is Cognizant in December 2022 at 12.6×: the multiple **re-rated upward** to 15–17× and holders still underperformed by 33 points over three years,

because earnings fell faster than the multiple rose. A cash-flow-yield argument cannot tell “cheap” from “about to earn less.” Ours is exposed to exactly that.

Two. Adobe entered at 13.7× in November 2025 on the same “incumbent with an AI terminal-value problem” logic and was cut to 7.8× in two months. There is no evidence a low multiple provides support in this cohort.

Three — the concentration problem. We already hold about \$112k of software across seven names, which is 10.9% of current account value, and we already have Adobe bids staged at \$238 and \$195. Adding Salesforce does not diversify this book; it doubles down on the identical bet.

Four. The company is removing the numbers that would settle the argument. It discloses no seat counts, no customer counts, and no net revenue retention. It collapsed product-level revenue from five lines to two in the very first filing after two of those five lines printed 1.5% and 3.7% growth. It stopped attaching the Informatica adjustment to the order-book figure while still attaching it to revenue in the same press release. And a metric it marketed as accelerating one quarter (“net new annual order value”) simply had no number attached the next quarter, while the definition stayed on the page.

Five. There is an interest cost not yet in the printed numbers. Last quarter’s \$317M of interest expense captured only about six weeks of the new debt. The full run-rate is closer to \$420M per quarter, meaning roughly \$100M/quarter — about \$0.30/share annualized — of drag still to arrive.

Six. Reported earnings per share was up 52% year over year, but \$621M of that pre-tax was gains on privately held investments swinging from a loss to a gain — 85% of the entire increase in profit. Excluding it, profit grew 5.5%, and most of the per-share gain was the shrinking share count. The company’s own filing says these private valuations “require judgment due to the lack of readily available market data.”

What we checked ourselves

Claim	How checked	Found	Confirmed?
We already own CRM at 2.9% of book	Polled the actual brokerage account for positions	We own zero shares. The “2.9%” was the whole software category, not this company. The only CRM object in the account is one resting buy order, 53 shares at \$175	NO — the brief that commissioned this court was wrong, and the record is corrected
The proposed risk remedy (“cut the second tranche from 0.75% to 0.30%”) reduces exposure	Same position poll	There is no 0.75% to cut. Cancelling a tranche that was never placed removes an option, not a risk	NO — our own bear bench’s remedy was void
Our sizing percentages are internally consistent	53 shares × \$175 = \$9,275; divided by the stated 0.30%	Implies a book of ~\$3.1M, about 3× the current account value of \$1.03M. The percentages were struck against a future, larger book	NO — every percentage in the file needs restating against a stated denominator

Claim	How checked	Found	Confirmed?
Organic growth is decelerating	Recomputed the prior quarter the same way: 11% reported less 4.1 points acquired = 6.9%, versus 7.4% this quarter	It accelerated , 6.9% → 7.4%	NO — our bear bench’s own line, conceded and struck
Collapsing five product lines into two made the weak products permanently invisible (“the strongest kill”)	Reconciled the two new buckets to the five old lines by revenue weight and tested rival mappings	Only one mapping survives, and it puts a weak product in each bucket — so further decay still shows up in a disclosed, quarterly, restated growth rate. Both buckets remain computable	PARTLY — the timing of the change is genuinely bad and stays on the board, but the claimed <i>effect</i> is refuted by the company’s own table. Stated honestly: Slack’s share is a solved variable in our reconciliation, so the fit is partly by construction; we accepted it because the implied Slack revenue (~\$2.6B) is plausible and the alternatives imply ~3× any credible Slack
The platform/Slack jump was just the acquisition	Checked the quarter <i>before</i> the acquisition closed	That line grew 19.5% with zero acquisition contribution. The acceleration is overwhelmingly organic	NO — our bear bench’s footnote was wrong
The acquisition mask never expires, it just “rotates” into the next deal	Full-year and fourth-quarter acquisition contributions in the same release are the identical \$399M, so the acquisition contributed zero in the first three quarters. Contribution path: 4.52 → ~4.2 → ~4.0 → ~0 points, averaging ~3.2, which ties to the guided “approximately 3 points”	The mask does expire, at the fourth quarter of this fiscal year (~February 2027). The replacement deal (Fin/Intercom, \$3.6B) implies only \$240–450M of annualized revenue — about a tenth of what expires — and management filed no material-acquisition 8-K, its own implicit statement of non-materiality	NO — our bear bench was wrong on the dates and used a bound that cuts against it as though it cut for it
The activist’s exit explains the June selloff	Pulled the 13F history from the filings themselves	The position (940k shares, 0.11% of shares outstanding) was sold between January and March and only <i>disclosed</i> on May 15 — three to five months before the June low. It cannot mechanically cause a 28% drawdown	NO — refuted as a cause
“The governance check has left”	Checked the other activists in the same filing cycle	ValueAct held 2,994,509 shares (\$559M) unchanged — a position 3.2× the size of the one that left	NO — overstated; one left, the larger one stayed
Salesforce discloses consumption/usage	Full-text scan of the quarterly report and press release	The word “consumption” appears zero times in the press release and only in boilerplate risk language in the filing;	NO consumption revenue is disclosed at all

Claim	How checked	Found	Confirmed?
revenue for its AI product		“usage-based” appears zero times in both the quarterly and annual report; there is no revenue-recognition policy for AI credits anywhere	
The AI usage statistics show monetization	Recomputed the growth rates	They are cumulative-to-date totals carrying flow growth rates (2.4B→3.8B agent work units is +58% on the stock, not the stated 111%), and the measurement perimeter changed between quarters. No revenue is attached to any of them	Confusing by construction, not false — treat as activity, not money
The buyback is funded by cash flow	Cash flow statement and debt note	\$27.2B of repurchases against \$12.6B for the entire prior year, funded by \$25B of notes plus a \$6B term loan	NO — real shrinkage, bought once with the balance sheet
Guidance was “raised”	Compared guide midpoints	Full-year revenue guidance moved \$46.00B → \$46.05B (+\$50M) on a \$78M beat — meaning the remaining nine months were implicitly trimmed by ~\$28M	NO — pass-through of a beat, not added confidence
The rename of product lines to “Agentforce” was a masking step	Read the footnote	Explicitly footnoted: renamed, with “no changes in the allocation of revenue.” They said so plainly	CLEAN — this one is honest and we credit it
Was the disclosure change ever questioned by regulators?	Pulled the company’s entire SEC comment-letter history	Three exchanges ever (2019, 2021, 2022), none about revenue disaggregation . All pre-date the change, so this is not exculpatory — but it does date the real test: the review cycle for the next quarterly report	
Our cash-flow-yield argument survives the trap base rate	Ran the base rate against it	It does not survive cleanly. Cognizant proves a yield argument fails when earnings erode. We concede this is the strongest attack on our own bull case	NO — this is why the position is conditional, not open

PROPOSED ENTRY BANDS

There is no buy at today’s price. At \$190.97 the stock is at or through the top of the bear bench’s own fair-value band (\$169–190), and the adjudication holds the position at zero pending proof of earnings durability. Nothing is added, nothing is bought at market, and no new order is placed before August 26.

The one live order. A resting buy of **53 shares at \$175.00** (about \$9,275; roughly 0.9% of current account value, or the 0.30% originally intended against the ~\$3.1M deploying book). The principal replaced the earlier \$187 rung with this \$175 rung late on 2026-08-05 after the HubSpot re-court, and ratified it as pull-class. **The instruction is to keep this bid through the August 26 print if it exists** — and “if it exists” is literal, not rhetorical: the order’s last observed status was REPLACED, a terminal status for that order ID, with no successor visible. **Verify a working order by ID before assuming we have a bid in the market, and before deciding to pull anything.**

Reopen gates — verbatim from the adjudication, not restated by us:

- Q2 print 2026-08-26 (company-confirmed): organic cRPO $\geq$ organic revenue AND deflator restored AND op margin $\geq$ 33.5% -> T2 re-specification proceeds (with axis-correlation review vs ADBE staged bids first)

In plain language, all three must be true in the same release: the forward order book must be growing at least as fast as revenue once the acquisition is stripped out of both; the company must put the acquisition adjustment back onto the order-book line so that stripping is possible at all; and non-GAAP operating margin must be at least 33.5%. **If the acquisition adjustment is missing from the order-book line, the test is FAILED, not “unclear”** — an untestable claim counts as a miss. Only if all three pass does the second tranche get re-specified, and even then only after reviewing the overlap with the Adobe bids staged at \$238 and \$195 and the \$112k of software already held (10.9% of account value).

Adds: none authorized above \$175. The second tranche (previously sketched at 0.45%) is not a number we hold today — it must be re-specified from scratch, against a stated book denominator, only after the August 26 test passes.

Trims/exits: not applicable. We own nothing to trim.

Downside reference: below \$169 the stock is through the floor of the bear’s own band, which is a re-court trigger rather than an automatic add — that band was built by a comparable-multiple method that ignores the cash flows, so it should not be treated as a valuation floor.

Catalyst dates: August 26, 2026 (second-quarter results — the three-part test); August 21, 2026 (the scheduled review of the \$175 rung, five days ahead of the print); approximately February 2027 (fourth quarter, when the acquisition contribution laps to zero and organic growth is finally visible without adjustment); and during the third quarter of this fiscal year, the final settlement of the accelerated buyback, worth roughly 26M additional shares.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 169.0 (deck-provisional: Through the floor of our own bear fair-value band -> re-court, not an automatic add; band came from a)
- filing watch: 8-K until 2027-02-14 (deck-provisional: Q2 FY27 results exhibit: does the cRPO bullet carry the Informatica deflator again, and is NNAOV given)
- dated pack CRM|2026-08-26: CRM Q2 FY27 2026-08-26: HIT = organic cRPO $\geq$ organic revenue AND cRPO deflator restored AND op margin $\geq$ 33.5%. Deflator absent = FAILED le
- dated pack CRM-REVIEW|2026-08-21: PRINCIPAL MODIFIED 08-05 late: the 187 rung (pulled per HUBS re-court) was replaced by the principal with 53 @ 175 - RATIFIED as PULL-CLASS

- dated pack CRM|2026-08-21: CRM: Scheduled review of the 53 @ 175 pull-class rung, five days before the print (date confirmed=True)
- dated pack CRM|2027-02-24: CRM: Approximate Q4 FY27 print where the Informatica contribution laps to zero and organic growth is visible unadjusted (date confirmed=False)

What remains unverified

- **The August 26 date itself.** The evidence pack labels it vendor-derived and explicitly unconfirmed absent a company announcement; the adjudication calls it company-confirmed. These conflict and it has not been reconciled. Every dated sensor above depends on it.
- **Whether the \$175 order is live.** Terminal REPLACED status, no successor observed. Unresolved.
- **Whether earnings are durable** — the entire condition on which this name is ownable. A cash-flow yield cannot distinguish “cheap” from “about to earn less,” and the base rate says most companies in this cohort were the latter.
- **Agentforce pricing history** (per-conversation → credits → bundled editions). The court’s web-search budget was exhausted before this could be verified. Declared unverified, not assumed clean — though the absence of any AI-credit revenue-recognition policy in the annual report points the same way.
- **Fin/Intercom’s actual revenue.** Bounded from both sides at roughly \$240–450M annualized, but not disclosed.
- **Any seat, customer, or retention figure.** The company discloses none, and the set of usable substitutes is shrinking rather than stable — which is itself the finding.
- **The 33.5% operating-margin leg.** We have the threshold from the adjudication but have not independently re-derived it from the company’s guidance in this pack.
- **The Slack revenue assumption** inside our bucket reconciliation (~\$2.6B/yr, solved rather than disclosed). Plausible and the alternatives fail, but it is an inference.

Primary sources for the above include the quarterly report at

<https://www.sec.gov/Archives/edgar/data/1108524/000110852426000127/crm-20260430.htm> and the August 5, 2026 8-K announcing the departure of the President and Chief Engineering and Customer Success Officer — a senior product-and-customer departure two weeks before a quarter that must prove product durability, which is worth noting even though neither bench raised it.

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